Business Environment & Ethics - Set 13

50 MCQs - 1 mark each - answers and explanations are at the end

> Choose the single best option. Do not look at the last pages until you finish.

1. Consumer sovereignty is a feature of the
A. Socialist economy
B. Capitalist economy
C. Command economy
D. Traditional economy

2. A sustained fall in the general price level is called
A. Inflation
B. Stagflation
C. Deflation
D. Devaluation

3. Corporate culture means
A. The shared values, beliefs and norms within an organisation
B. Competitors' behaviour
C. Government rules
D. Trade cycles

4. The right to be heard means
A. Consumers' interests receive due consideration at appropriate forums
B. Consumers can set prices
C. Sellers must obey consumers
D. Consumers need not pay

5. The Environment (Protection) Act of India was enacted in
A. 1976
B. 1996
C. 2006
D. 1986

6. The right to form trade unions in India is recognised under the
A. Companies Act
B. Competition Act
C. Trade Unions Act, 1926
D. Consumer Protection Act

> **Case:** Inflation Control Measures: Inflation in an economy has risen to 7 per cent. The central bank raises the repo rate. The Finance Ministry cuts excise duty on fuel to ease prices. Meanwhile, the securities market regulator tightens disclosure rules for listed companies to protect investors.

7. A higher repo rate generally leads to:
A. Cheaper loans for all borrowers
B. Costlier borrowing, which tends to dampen demand
C. Higher money supply
D. An immediate fall in taxes

8. Related party transactions must be
A. Hidden
B. Disclosed and approved as per law
C. Ignored
D. Treated as private

9. Business environment refers to
A. Only the government policies affecting a firm
B. Only the competitors of a firm

C. The sum total of all internal and external forces that affect a business
D. Only the financial resources of a firm

10. Which of the following is an environmental factor?
A. Wage rates
B. Climate change and pollution
C. Inflation
D. Culture

11. Which of the following is an external opportunity for a firm?
A. Rising middle-class incomes
B. Outdated machinery
C. A weak brand
D. Poor employee morale

> **Case:** India in 1991: In 1991, India's foreign exchange reserves had fallen so low that they could barely pay for a few weeks of imports. The government pledged gold, devalued the rupee and launched sweeping economic reforms. The reforms were led by Prime Minister P. V. Narasimha Rao and his Finance Minister.

12. The Finance Minister who piloted the 1991 reforms was:
A. Yashwant Sinha
B. P. Chidambaram
C. Dr. Manmohan Singh
D. Pranab Mukherjee

13. Providing subsidies, tax holidays and SEZs to encourage industry is the government's ___ role.
A. Regulatory
B. Planning
C. Promotional
D. Judicial

14. Milton Friedman argued that the social responsibility of business is
A. To build schools
B. To increase its profits within the rules of the game
C. To pay the highest wages
D. To protect the environment at any cost

15. Saying "everyone does it" to justify wrongdoing is an example of
A. Rationalisation of unethical behaviour
B. Ethical leadership
C. Whistle blowing
D. Audit

16. Public ownership of key resources and industries is a feature of
A. Capitalism
B. Laissez-faire
C. Free market economy
D. Socialism

17. Which of the following is an economic factor?
A. Religion
B. Copyright law
C. Pollution norms
D. Inflation rate

18. Greenwashing means
A. Making misleading claims about the environmental benefits of a product or practice
B. Cleaning a factory
C. Planting trees
D. Using recycled paper

> **Case:** Priya's Appeal: Priya files a complaint about a faulty washing machine, but the District Commission rules against her. She believes the decision is wrong and wants to appeal. She also learns that disputes can sometimes be settled through mediation instead of a long hearing.

19. The top tier in the three-tier consumer redressal system is the:

A. National Consumer Disputes Redressal Commission
B. District Commission
C. State Commission
D. Consumer Court of the Panchayat

20. The Volkswagen "Dieselgate" scandal of 2015 involved

A. Child labour
B. Tax evasion
C. Cheating emission tests using defeat devices
D. Insider trading

21. A circular economy aims to

A. Dispose of products after one use
B. Increase waste
C. Reduce recycling
D. Keep resources in use through reuse, repair and recycling

22. The Brundtland Commission defined sustainable development as development that

A. Maximises industrial output
B. Meets present needs without compromising the ability of future generations to meet theirs
C. Focuses only on environmental protection
D. Maximises short-term profits

23. Ethical codes help a business mainly by building

A. Trust among stakeholders
B. A monopoly
C. Legal immunity
D. Higher prices

24. The Johnson & Johnson Credo places first responsibility towards

A. Shareholders
B. The government
C. Doctors, nurses, patients and the parents who use its products
D. Competitors

> **Case:** The Factory and the Village: An Ethical Dilemma: A factory provides jobs to 5,000 workers but its fumes harm 500 nearby villagers. Manager A says the decision should aim at the greatest good for the greatest number. Manager B says harming people is wrong whatever the outcome. Manager C asks what a person of good character would do in this situation.

25. The situation facing the managers is best described as:

A. A routine production issue
B. A tax dispute
C. An ethical dilemma
D. A marketing problem

26. Compared with a code of ethics, a code of conduct generally

A. States only broad values
B. Is issued by the government for all firms
C. Specifies detailed rules on expected behaviour and actions
D. Applies only to shareholders

27. Small suppliers' right to timely payment is protected under the

A. Factories Act
B. MSMED Act, 2006
C. Trade Marks Act
D. Copyright Act

> **Case:** Stake Sale and Foreign Investment: The government sold 20 per cent of its stake in a public sector bank to institutional investors. In the same year, a foreign company invested Rs. 500 crore to set up a factory in India and took management control of it. Officials said the investment would bring capital, technology and jobs.

28. FDI differs from portfolio investment because FDI involves:

A. Short-term trading of shares only
B. Government bonds only
C. No foreign capital
D. A lasting interest and control in the business

29. Which of the following is NOT one of Porter's five forces?
A. Threat of new entrants
B. Bargaining power of buyers
C. Threat of substitutes
D. Political stability

30. Organising free health camps for villagers is an example of
A. Marketing research
B. Product testing
C. Tax saving
D. Community healthcare engagement

31. The Digital India programme launched in 2015 aims to
A. Transform India into a digitally empowered society
B. Privatise telecom
C. Merge public sector banks
D. Give export subsidies

32. The Earth Summit of 1992 was held at
A. Stockholm
B. Kyoto
C. Paris
D. Rio de Janeiro

> **Case:** Lotus Retail's Procurement Head: The procurement head at Lotus Retail is offered a luxury holiday by a supplier who is bidding for a large contract. The head knows the supplier's prices are higher than those of other bidders. The company's code of conduct requires employees to avoid personal gain from business dealings.

33. The situation described is an example of a:
A. Routine purchase
B. Conflict of interest
C. Trade discount
D. Sales promotion

> **Case:** UrbanThread Fashion: UrbanThread, a clothing retailer, is reviewing its environment. A new law has raised minimum wages for garment workers. High inflation is reducing customers' spending on non-essential items. Activists criticise the industry for textile waste and demand recycling. Younger buyers increasingly prefer sustainable, ethically made clothing.

34. The rise in minimum wages by law is a:
A. Social factor
B. Legal factor
C. Technological factor
D. Environmental factor

35. Under the Consumer Protection Act, 2019 (2021 rules), a District Commission can hear complaints where the consideration paid does not exceed
A. Rs 20 lakh
B. Rs 50 lakh
C. Rs 1 crore
D. Rs 10 lakh

36. Human rights due diligence by a company means
A. Identifying and addressing its impact on human rights
B. Auditing profit only
C. Checking taxes only
D. Ignoring suppliers

> **Case:** Water at the Railway Station: At a railway station, a shopkeeper sells a bottle of packaged drinking water with a printed MRP of Rs. 20 for Rs. 30, saying 'take it or leave it'. A traveller objects and says the bottle also does not show any food safety licence number.

37. Charging more than the printed MRP is:
A. A legitimate discount
B. An unfair trade practice
C. A fair business practice
D. Permitted by law

38. Which of the following is an unethical marketing practice?
A. Honest labelling
B. Selling adulterated products
C. Offering a genuine warranty
D. Fair pricing

39. Understanding business environment as the combination of all forces, rather than any single force, reflects its
A. Totality
B. Relativity
C. Specificity
D. Rigidity

40. Small-scale and cottage industries were adversely affected after liberalisation due to
A. Competition from cheaper imports and large firms
B. Higher tariffs on imports
C. Government monopoly
D. Licensing

41. The World Trade Organisation (WTO) came into existence in
A. 1947
B. 1991
C. 2001
D. 1995

42. Unspent CSR funds not linked to an ongoing project must be transferred to a Schedule VII fund within
A. Six months of the end of the financial year
B. One month
C. Three years
D. Two years

> **Case:** Sundaram Auto Components: Sundaram Auto Components, a Pune-based manufacturer, supplies parts to large carmakers. Its machines are outdated, but its workforce is highly skilled and loyal, and its mission stresses quality. Recently a new emission rule has pushed carmakers to demand cleaner components, a rival has begun selling similar parts at lower prices, and a weaker rupee has raised the cost of imported steel.

43. In a SWOT analysis, the outdated machinery would be listed as a:
A. Opportunity
B. Threat
C. Weakness
D. Strength

44. India has announced a target of net-zero emissions by
A. 2030
B. 2070
C. 2040
D. 2100

45. External environment factors are generally
A. Uncontrollable by an individual firm
B. Fully controlled by the board
C. Decided by employees
D. Decided by shareholders

46. Which of the following is an instrument of monetary policy?
A. Cash Reserve Ratio
B. Income tax
C. Excise duty

D. Public borrowing

47. Which of the following is an instrument of fiscal policy?

A. Repo rate
B. Cash Reserve Ratio
C. Taxation
D. Open market operations

> **Case:** Industrial Planning in the 1950s: A researcher studying Indian industry in the 1950s finds that the state set up steel plants through public sector companies, required private firms to obtain licences under the Industries (Development and Regulation) Act, 1951, and followed Five-Year Plans. The Industrial Policy Resolution of 1956 divided industries into three schedules, and the Second Plan stressed heavy industry.

48. The Industrial Policy Resolution of 1956 classified industries into:

A. Three schedules
B. Two schedules
C. Five schedules
D. Ten schedules

49. Schedule VII of the Companies Act, 2013 lists

A. Activities eligible for CSR spending
B. Qualifications of directors
C. Formats of accounts
D. Rules for auditors

50. During the boom phase of a business cycle, firms generally

A. Shut down plants
B. Cut all advertising
C. Expand production and investment
D. Reduce output questions)

Answer key - Set 13

1. **B**	11. **A**	21. **D**	31. **A**	41. **D**
2. **C**	12. **C**	22. **B**	32. **D**	42. **A**
3. **A**	13. **C**	23. **A**	33. **B**	43. **C**
4. **A**	14. **B**	24. **C**	34. **B**	44. **B**
5. **D**	15. **A**	25. **C**	35. **B**	45. **A**
6. **C**	16. **D**	26. **C**	36. **A**	46. **A**
7. **B**	17. **D**	27. **B**	37. **B**	47. **C**
8. **B**	18. **A**	28. **D**	38. **B**	48. **A**
9. **C**	19. **A**	29. **D**	39. **A**	49. **A**
10. **B**	20. **C**	30. **D**	40. **A**	50. **C**

Answers with explanations

1. Consumer sovereignty is a feature of the

Answer: B. Capitalist economy

Why correct: Consumer sovereignty - consumers decide what is produced - is a capitalist feature.

A is wrong: Socialist planners decide.

C is wrong: Command planners decide.

D is wrong: Traditional custom decides.

2. A sustained fall in the general price level is called

Answer: C. Deflation

Why correct: A sustained fall in prices is deflation.

A is wrong: Inflation is a rise.

B is wrong: Stagflation is inflation with stagnation.

D is wrong: Devaluation is a currency matter.

3. Corporate culture means

Answer: A. The shared values, beliefs and norms within an organisation

Why correct: Corporate culture is the shared values, beliefs and norms inside the firm.

B is wrong: Competitors' behaviour is external.

C is wrong: Government rules are external.

D is wrong: Trade cycles are macro.

4. The right to be heard means

Answer: A. Consumers' interests receive due consideration at appropriate forums

Why correct: Right to be heard means consumer interests get due consideration at forums.

B is wrong: Consumers do not set prices.

C is wrong: Sellers need not obey consumers.

D is wrong: Consumers must pay.

5. The Environment (Protection) Act of India was enacted in

Answer: D. 1986

Why correct: The Environment (Protection) Act was enacted in 1986, after Bhopal.

A is wrong: 1976 is wrong.

B is wrong: 1996 is wrong.

C is wrong: 2006 is wrong.

6. The right to form trade unions in India is recognised under the

Answer: C. Trade Unions Act, 1926

Why correct: The Trade Unions Act, 1926 recognises the right to form unions.

A is wrong: The Companies Act is about companies.

B is wrong: The Competition Act is about markets.

D is wrong: The Consumer Act is about consumers.

7. A higher repo rate generally leads to:

Answer: B. Costlier borrowing, which tends to dampen demand

Why correct: A higher repo rate makes borrowing costlier and cools demand.

A is wrong: Loans do not get cheaper.

C is wrong: Money supply falls, not rises.

D is wrong: Taxes do not change automatically.

8. Related party transactions must be

Answer: B. Disclosed and approved as per law

Why correct: Related party transactions must be disclosed and approved as per law.

A is wrong: Hiding them is illegal.

C is wrong: Ignoring them is illegal.

D is wrong: They are not private.

9. Business environment refers to

Answer: C. The sum total of all internal and external forces that affect a business

Why correct: Business environment is the sum of all internal and external forces that affect a business, not just one of them.

A is wrong: Government policy is only one external force.

B is wrong: Competitors are only one external force.

D is wrong: Financial resources are only one internal factor.

10. Which of the following is an environmental factor?

Answer: B. Climate change and pollution

Why correct: Climate change and pollution are environmental factors.

A is wrong: Wage rates are economic.

C is wrong: Inflation is economic.

D is wrong: Culture is social.

11. Which of the following is an external opportunity for a firm?

Answer: A. Rising middle-class incomes

Why correct: Rising incomes create more demand: an external opportunity.

B is wrong: Outdated machinery is an internal weakness.

C is wrong: A weak brand is an internal weakness.

D is wrong: Poor morale is an internal weakness.

12. The Finance Minister who piloted the 1991 reforms was:

Answer: C. Dr. Manmohan Singh

Why correct: Dr Manmohan Singh was the Finance Minister in 1991.

A is wrong: Yashwant Sinha served later.

B is wrong: P. Chidambaram served later.

D is wrong: Pranab Mukherjee served earlier/later.

13. Providing subsidies, tax holidays and SEZs to encourage industry is the government's ___ role.

Answer: C. Promotional

Why correct: Subsidies, tax holidays and SEZs encourage industry: promotional role.

A is wrong: Regulatory makes rules.

B is wrong: Planning sets targets.

D is wrong: Judicial settles disputes.

14. Milton Friedman argued that the social responsibility of business is

Answer: B. To increase its profits within the rules of the game

Why correct: Friedman: business's social responsibility is to increase profits within the rules.

A is wrong: Building schools is not his view.

C is wrong: Highest wages is not his view.

D is wrong: Environmental protection at any cost is not his view.

15. Saying "everyone does it" to justify wrongdoing is an example of

Answer: A. Rationalisation of unethical behaviour

Why correct: 'Everyone does it' is rationalisation of wrongdoing.

B is wrong: Ethical leadership models right conduct.

C is wrong: Whistle blowing exposes wrongdoing.

D is wrong: Audit checks records.

16. Public ownership of key resources and industries is a feature of

Answer: D. Socialism

Why correct: Public ownership of key industries is a feature of socialism.

A is wrong: Capitalism has private ownership.

B is wrong: Laissez-faire minimises state role.

C is wrong: Free markets are privately owned.

17. Which of the following is an economic factor?

Answer: D. Inflation rate

Why correct: Inflation rate is an economic factor.

A is wrong: Religion is social.

B is wrong: Copyright law is legal.

C is wrong: Pollution norms are environmental/legal.

18. Greenwashing means

Answer: A. Making misleading claims about the environmental benefits of a product or practice

Why correct: Greenwashing is making misleading environmental claims.

B is wrong: Cleaning is not greenwashing.

C is wrong: Planting trees is real action.

D is wrong: Using recycled paper is real action.

19. The top tier in the three-tier consumer redressal system is the:

Answer: A. National Consumer Disputes Redressal Commission

Why correct: The National Commission is the top tier.

B is wrong: District is the lowest.

C is wrong: State is the middle.

D is wrong: A Panchayat court is not a tier.

20. The Volkswagen "Dieselgate" scandal of 2015 involved

Answer: C. Cheating emission tests using defeat devices

Why correct: Volkswagen cheated emission tests with defeat devices.

A is wrong: It was not child labour.

B is wrong: It was not tax evasion.

D is wrong: It was not insider trading.

21. A circular economy aims to

Answer: D. Keep resources in use through reuse, repair and recycling

Why correct: A circular economy keeps resources in use through reuse, repair and recycling.

A is wrong: One-use disposal is a linear economy.

B is wrong: It reduces, not increases, waste.

C is wrong: It increases recycling.

22. The Brundtland Commission defined sustainable development as development that

Answer: B. Meets present needs without compromising the ability of future generations to meet theirs

Why correct: Brundtland: development that meets present needs without harming future generations' ability to meet theirs.

A is wrong: Maximising output ignores the future.

C is wrong: Focusing only on the environment ignores people.

D is wrong: Short-term profit ignores sustainability.

23. Ethical codes help a business mainly by building

Answer: A. Trust among stakeholders

Why correct: Ethical codes build trust among stakeholders.

B is wrong: A monopoly is not an ethical aim.

C is wrong: Codes give no legal immunity.

D is wrong: They do not aim at higher prices.

24. The Johnson & Johnson Credo places first responsibility towards

Answer: C. Doctors, nurses, patients and the parents who use its products

Why correct: The J&J Credo puts doctors, nurses, patients and parents first.

A is wrong: Shareholders come last.

B is wrong: The government is not first.

D is wrong: Competitors are not first.

25. The situation facing the managers is best described as:

Answer: C. An ethical dilemma

Why correct: Choosing between jobs for 5,000 and harm to 500 is an ethical dilemma.

A is wrong: It is not routine production.

B is wrong: It is not a tax dispute.

D is wrong: It is not a marketing problem.

26. Compared with a code of ethics, a code of conduct generally

Answer: C. Specifies detailed rules on expected behaviour and actions

Why correct: A code of conduct gives detailed rules on expected behaviour; a code of ethics states broad values.

A is wrong: Broad values only describes a code of ethics.

B is wrong: A code of conduct is issued by the organisation, not the government.

D is wrong: It applies to employees, not only shareholders.

27. Small suppliers' right to timely payment is protected under the

Answer: B. MSMED Act, 2006

Why correct: The MSMED Act protects small suppliers' right to timely payment.

A is wrong: The Factories Act is about safety.

C is wrong: The Trade Marks Act is about brands.

D is wrong: The Copyright Act is about works.

28. FDI differs from portfolio investment because FDI involves:

Answer: D. A lasting interest and control in the business

Why correct: FDI involves a lasting interest and control, unlike portfolio investment.

A is wrong: Short-term share trading is portfolio.

B is wrong: Government bonds are portfolio.

C is wrong: FDI does bring foreign capital.

29. Which of the following is NOT one of Porter's five forces?

Answer: D. Political stability

Why correct: Porter's five forces are rivalry, entrants, substitutes, buyer and supplier power; political stability is not one.

A is wrong: New entrants is one.

B is wrong: Buyer power is one.

C is wrong: Substitutes is one.

30. Organising free health camps for villagers is an example of

Answer: D. Community healthcare engagement

Why correct: Free health camps are community healthcare.

A is wrong: It is not market research.

B is wrong: It is not product testing.

C is wrong: It is not tax saving.

31. The Digital India programme launched in 2015 aims to

Answer: A. Transform India into a digitally empowered society

Why correct: Digital India aims to make India digitally empowered.

B is wrong: It is not privatising telecom.

C is wrong: It is not merging banks.

D is wrong: It is not an export subsidy.

32. The Earth Summit of 1992 was held at

Answer: D. Rio de Janeiro

Why correct: The 1992 Earth Summit was at Rio de Janeiro.

A is wrong: Stockholm was 1972.

B is wrong: Kyoto was 1997.

C is wrong: Paris was 2015.

33. The situation described is an example of a:

Answer: B. Conflict of interest

Why correct: A gift from a bidding supplier creates a conflict of interest.

A is wrong: It is not routine buying.

C is wrong: It is not a trade discount.

D is wrong: It is not sales promotion.

34. The rise in minimum wages by law is a:

Answer: B. Legal factor

Why correct: A law raising minimum wages is a legal factor.

A is wrong: It is not social.

C is wrong: It is not technological.

D is wrong: It is not environmental.

35. Under the Consumer Protection Act, 2019 (2021 rules), a District Commission can hear complaints where the consideration paid does not exceed

Answer: B. Rs 50 lakh

Why correct: A District Commission hears claims where consideration paid is up to Rs 50 lakh.

A is wrong: Rs 20 lakh was the old limit.

C is wrong: Rs 1 crore is the old limit.

D is wrong: Rs 10 lakh is wrong.

36. Human rights due diligence by a company means

Answer: A. Identifying and addressing its impact on human rights

Why correct: Human rights due diligence means identifying and addressing human rights impacts.

B is wrong: It is not only auditing profit.

C is wrong: It is not only checking taxes.

D is wrong: It includes suppliers.

37. Charging more than the printed MRP is:

Answer: B. An unfair trade practice

Why correct: Charging above MRP is an unfair trade practice.

A is wrong: It is not a discount.

C is wrong: It is not fair.

D is wrong: It is not permitted.

38. Which of the following is an unethical marketing practice?

Answer: B. Selling adulterated products

Why correct: Selling adulterated products harms consumers - unethical.

A is wrong: Honest labelling is ethical.

C is wrong: A genuine warranty is ethical.

D is wrong: Fair pricing is ethical.

39. Understanding business environment as the combination of all forces, rather than any single force, reflects its

Answer: A. Totality

Why correct: Seeing all forces together rather than one at a time is totality.

B is wrong: Relativity is about differences across places.

C is wrong: Specificity is not a standard feature.

D is wrong: Rigidity is the opposite of dynamic.

40. Small-scale and cottage industries were adversely affected after liberalisation due to

Answer: A. Competition from cheaper imports and large firms

Why correct: Small and cottage industries suffered from cheaper imports and big firms.

B is wrong: Import tariffs fell.

C is wrong: Government monopoly is not the cause.

D is wrong: Licensing was removed.

41. The World Trade Organisation (WTO) came into existence in

Answer: D. 1995

Why correct: The WTO came into existence in 1995.

A is wrong: 1947 was GATT.

B is wrong: 1991 was India's reform year.

C is wrong: 2001 is wrong.

42. Unspent CSR funds not linked to an ongoing project must be transferred to a Schedule VII fund within

Answer: A. Six months of the end of the financial year

Why correct: Unspent CSR not tied to an ongoing project goes to a Schedule VII fund within six months of year end.

B is wrong: One month is too short.

C is wrong: Three years is too long.

D is wrong: Two years is too long.

43. In a SWOT analysis, the outdated machinery would be listed as a:

Answer: C. Weakness

Why correct: Outdated machinery is a weakness in the firm's own resources.

A is wrong: An opportunity is external and favourable.

B is wrong: A threat is external and unfavourable.

D is wrong: A strength is a positive internal factor.

44. India has announced a target of net-zero emissions by

Answer: B. 2070

Why correct: India targets net-zero emissions by 2070.

A is wrong: 2030 is too early.

C is wrong: 2040 is too early.

D is wrong: 2100 is too late.

45. External environment factors are generally

Answer: A. Uncontrollable by an individual firm

Why correct: External factors lie outside the firm, so one firm cannot control them.

B is wrong: The board cannot control them.

C is wrong: Employees do not decide them.

D is wrong: Shareholders do not decide them.

46. Which of the following is an instrument of monetary policy?

Answer: A. Cash Reserve Ratio

Why correct: The Cash Reserve Ratio is a monetary policy tool.

B is wrong: Income tax is fiscal.

C is wrong: Excise duty is fiscal.

D is wrong: Public borrowing is fiscal.

47. Which of the following is an instrument of fiscal policy?

Answer: C. Taxation

Why correct: Taxation is a fiscal policy instrument.

A is wrong: Repo rate is monetary.

B is wrong: CRR is monetary.

D is wrong: Open market operations are monetary.

48. The Industrial Policy Resolution of 1956 classified industries into:

Answer: A. Three schedules

Why correct: The 1956 resolution had three schedules.

B is wrong: Two is wrong.

C is wrong: Five is wrong.

D is wrong: Ten is wrong.

49. Schedule VII of the Companies Act, 2013 lists

Answer: A. Activities eligible for CSR spending

Why correct: Schedule VII lists the activities eligible for CSR spending.

B is wrong: Director qualifications are elsewhere.

C is wrong: Formats of accounts are in Schedule III.

D is wrong: Auditor rules are in Chapter X.

50. During the boom phase of a business cycle, firms generally

Answer: C. Expand production and investment

Why correct: In a boom, demand is high so firms expand production and investment.

A is wrong: Firms do not shut plants in a boom.

B is wrong: Advertising is not cut in a boom.

D is wrong: Output rises, not falls.